

THE HOLY GRAIL OF TRADING

Class 3 — Comprehensive Student Notes

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Topics: Order Types · Law of Gravity · Pullback vs Sell-Off · Liquidity · Delta · Limit vs Aggressive Orders at S/R

Class 3 - Momentum, Aggressive & Passive Orders, Trade Plans

Session Overview

Topic	Summary
1. Imbalance Settings	Minimum 200%; use 300% to filter fake imbalances — set as default in Pro Charting.
2. Order Types	Two types: Limit Order (passive) and Market Order (aggressive). Both must merge to execute.
3. How Price Moves	Market buy orders → price rises. Market sell orders → price falls. LTP concept explained.
4. Law of Gravity	Even without active sellers, price slides down slowly due to lack of buyer interest.
5. Pullback vs Sell-Off	Pullback: slow, mild, <50% retracement. Sell-off: sharp, fast, aggressive fall driven by sellers.
6. Liquidity	Zones where equal supply and demand coexist. NRC and WRC are high-liquidity areas. Acts as support/resistance.
7. Delta	Buyer volume minus Seller volume. Shows dominance, not just absolute count. Key order flow metric.
8. Limit vs Aggressive at S/R	At Support/Resistance: normal candle activity = aggressive orders. Candle crossing S/R = limit orders (passive) from the opposite side.

1. Imbalance Settings in Order Flow

Before diving into the core topics, Balakrishna reviewed the critical order flow settings every student must configure correctly in their charting software.

1.1 Why Imbalance Percentage Matters

- An imbalance in order flow occurs when buying volume significantly dominates selling volume, or vice versa, at a specific price level within a candle.
- These imbalances highlight areas where aggressive orders overwhelmed limit orders — signalling a potential continuation or reversal zone.
- The imbalance is expressed as a ratio/percentage: if buy volume is 3x the sell volume, that is a 300% imbalance.

1.2 Correct Imbalance Threshold Settings

Setting	Details
Minimum threshold	200% — the absolute minimum required to confirm that an imbalance has meaningful energy behind it.
Recommended threshold	300% — filters out weak or fake imbalances. This is the standard used in this course.
Why 300%?	Lower thresholds produce too much noise. At 300%, only high-conviction imbalances are highlighted, improving signal quality.
Where to configure	In your order flow charting software, go to Settings → Balance/Imbalance section → scroll to find the Imbalance Percentage field → set to 300%.
Platform default	Balakrishna has instructed the Pro Charting team to set 300% as the default. If you use a different platform, manually set this yourself.

☐ **Note:** If you are using any order flow software other than Pro Charting, make sure to locate the imbalance settings and change the value to 300%. This is non-negotiable for accurate signals.

2. Order Types: Limit Orders and Market Orders

There are two fundamental ways to place an order in the market. Understanding the difference between them is the foundation of order flow analysis.

2.1 Limit Order (Passive Order)

A limit order is an instruction to buy or sell only at a specific price you choose. The order sits in the market waiting until the market price reaches your desired level.

Key Characteristics

- You choose the exact price at which the trade executes.
- The order will NOT execute until the market price reaches your specified level.
- Also called a Passive Order because it waits patiently — it does not move the market.
- Types: Limit Buy Order (buy at a lower price) and Limit Sell Order (sell at a higher price).

Example — Limit Sell Order

- You bought Nifty futures at ₹24,000. Price is currently at ₹25,000 (₹1,000 profit).
- You want to sell at ₹25,100. You place a Limit Sell Order at ₹25,100.
- The order sits waiting. It will only execute when price rises from ₹25,000 to ₹25,100.
- If price never reaches ₹25,100, the order remains unfilled.

Example — Limit Buy Order

- Price is at ₹25,000 and you want to buy at ₹24,000 (expecting a pullback).
- You place a Limit Buy Order at ₹24,000.
- The order waits until price falls to ₹24,000, then executes automatically.

Analogy: Person A is told to buy 1 kg cucumber at exactly ₹50. He will not buy at ₹60 or ₹70. He waits until he finds a shop with the exact price. That is a limit order — disciplined, fixed, passive.

2.2 Market Order (Aggressive Order)

A market order is an instruction to buy or sell immediately at whatever price is currently available. You give up control of the price in exchange for immediate execution.

Key Characteristics

- Executes immediately at the best available price in the market.
- You have no control over the execution price.
- Also called an Aggressive Order because it is proactive — it hunts for the nearest available counterparty.
- Types: Market Buy Order and Market Sell Order.
- Market orders MOVE the market. They shift the Last Transaction Price (LTP).

Example — Market Sell Order

- Price is at ₹25,000, you want to sell immediately.
- You place a Market Sell Order. It executes right away at the best bid available — immediately.
- You do not wait for any specific price level.

Analogy: Person B is told to buy cucumber at any cost — no price restriction. He walks into the first shop and buys at ₹100, ₹200, or whatever the price is. He does not bargain or wait. That is a market order — aggressive and immediate.

2.3 How Limit Orders and Market Orders Interact

This is one of the most important concepts in order flow. Every single transaction in the market requires BOTH a limit order and a market order to come together. They are complementary — like husband and wife.

Combination	Who is Aggressive?	Who is Passive?
Market Buy + Limit Sell	Market Buyer (aggressive)	Limit Seller (passive) — waiting at a higher price
Market Sell + Limit Buy	Market Seller (aggressive)	Limit Buyer (passive) — waiting at a lower price

- Two market orders can NEVER merge with each other. A market buy cannot match with a market sell.
- One party must always be passive (limit) and one must be aggressive (market).
- Aggressive buy = Passive sell merging to create a transaction.
- Aggressive sell = Passive buy merging to create a transaction.

□ **Note:** The terms Aggressive Buy/Passive Sell and Market Buy/Limit Sell are different ways to describe the same thing. In order flow analysis, these alternative names are used interchangeably.

3. How Market Orders Move Price — LTP Concept

Understanding how price actually moves up and down is critical for reading order flow. The key concept here is the LTP — Last Transaction Price.

3.1 What is LTP?

- LTP = Last Transaction Price. It is the price at which the most recent trade was executed.
- The LTP is what you see as the 'current market price' on your screen.
- Every time a new trade executes, the LTP shifts to the price of that new trade.

3.2 How Price Rises (Uptrend)

- A market buyer places a Market Buy Order. The software looks for the nearest Limit Sell Order above the current LTP.
- The trade executes at that Limit Sell price. This becomes the new LTP — higher than before.
- The next Market Buy Order executes at the next available Limit Sell — even higher. LTP shifts up again.
- As market buy orders keep flowing in, LTP keeps shifting higher and higher, creating an upward price movement.

Cause of Uptrend: Repeated market buying activity. Whenever demand (market buy orders) exceeds available supply at current levels, price is pushed higher.

3.3 How Price Falls (Downtrend)

- A market seller places a Market Sell Order. The software looks for the nearest Limit Buy Order below the current LTP.
- The trade executes at that Limit Buy price. LTP shifts lower.
- Repeated market selling forces the LTP lower and lower.
- To sell at the market, you must offer at a discount — below the last transaction price. This pulls price down.

Cause of Downtrend: Repeated market selling activity. Supply exceeding demand forces price to fall as sellers must undercut the LTP to find buyers.

4. Law of Gravity

The Law of Gravity is a fundamental concept that explains why price slides down even when there are no active sellers. This concept directly feeds into understanding what a Pullback is.

4.1 The Principle

- When price has been moving upward due to strong buying, it reaches a level where no new buyers are willing to pay higher prices.
- Buying activity stops. The smart money (institutions) has finished accumulating.
- There are also no aggressive sellers yet — no one is actively shorting the market.
- In the absence of new buying, price naturally starts to slide down slowly. This is the Law of Gravity.
- Even without active sellers pushing price down, the market will drift lower simply because no one is lifting it higher.

Key Insight: You do not need active sellers for price to fall. You only need the absence of buyers. Just as gravity pulls objects down without any active force pushing them, the market falls without sellers when buying interest disappears.

4.2 Why This Happens — Practical Example

- Gold was rising strongly. Everyone was buying every day, joining the rally.
- Smart money finishes buying and stops. No more large-scale buying demand exists.
- Retail traders who bought near the top expect the market to continue rising — but it stops.
- After 2-3 candles of sideways movement, retail traders start to exit at market prices (not selling short — just exiting long positions).
- This exit selling (at whatever price is available) gradually pushes price lower, slowly and steadily.
- Eventually, new buyers appear at discounted levels, attracted by the lower price — and the market bounces.

□ **Note:** *The Law of Gravity is why pullbacks happen slowly and gradually. It is NOT an aggressive sell-off — it is a quiet, gradual drift lower due to lack of demand.*

5. Pullback vs Sell-Off

Two of the most frequently confused concepts in trading. Balakrishna makes a very clear distinction that every student must understand — because your trading strategy depends on which one is occurring.

5.1 What is a Pullback?

A pullback is a temporary, mild retracement within an ongoing trend. It is NOT a reversal and NOT a sell-off.

Characteristics of a Pullback

- Slow, gradual movement — price drifts down over many candles.
- Low volume during the pullback — there are no aggressive sellers.
- Caused by profit booking (participants exiting long positions at the market price) and the absence of new buyers, not by active shorting.
- The retracement is typically less than 50% of the prior move (and in a healthy trend, less than 15% for stocks/index).
- After the pullback completes, new buyers enter at the discounted price and the trend continues.
- More candles are used in the pullback direction (slow), fewer candles in the trend direction (fast).

Rule of 15% and 50%: In stocks and indices (not options), if price retraces more than 15% against the trend direction, be cautious — it may not be a simple pullback. Comebacks below 50% of the prior move are classified as pullbacks.

Pullback Example

- Stock moves from ₹100 to ₹1,000 (900 points up).
- It then dips to ₹900 (100 points down = ~11% retracement).
- This is a valid pullback — slow, mild, and proportionally small.
- Compare: stock moves to ₹1,000 and then drops to ₹800 (20% retracement) — this raises concern about whether it is still a pullback.

5.2 What is a Sell-Off?

A sell-off is an aggressive, sharp fall driven by active sellers entering the market with high volume. It is fundamentally different from a pullback.

Characteristics of a Sell-Off

- Fast, sharp, aggressive movement — price drops quickly over few candles.

- High sell volume — active sellers are aggressively shorting or exiting en masse.
- Sellers are offering at a discount (below LTP), forcing price lower rapidly.
- Associated with fear, news events, institutional distribution, or forced liquidation.
- DO NOT try to buy into a sell-off — it is a falling knife.

5.3 Pullback vs Sell-Off — Comparison Table

Feature	Pullback	Sell-Off
Speed	Slow and gradual	Fast and sharp
Volume	Low volume during retracement	High volume, aggressive selling
Driver	Profit booking + absence of buyers (Law of Gravity)	Active sellers aggressively shorting
Magnitude	Less than 50% of prior move, often under 15%	Can be much larger
Candle Count	Many candles for small distance	Few candles for large distance
Trading Action	Look for buy entry (re-entry opportunity)	DO NOT buy — it is a falling knife
Market Context	Within a trend — trend continues after	Can signal trend reversal or major correction

5.4 Pullback and NRC/WRC Connection

- NRC breakout: After the breakout, price will NOT give a pullback — it blasts out without retracing.
- WRC breakout: After a valid WRC breakout (rare — 15% of the time), you will get a pullback — giving a re-entry opportunity.
- This is why identifying whether you are in an NRC or WRC is critical before deciding your entry strategy.

Trading Use: Pullbacks are your best re-entry opportunities in a trending market. Wait for the pullback to form a higher low (in an uptrend), and enter when the trend resumes. Never chase a sell-off.

6. Liquidity — The Foundation of Price Behaviour

Liquidity is one of the most important concepts in professional trading. It determines where price will stop, where it will reverse, and how deeply price can penetrate a zone.

6.1 What is Liquidity?

- Liquidity is a location in the market where a large number of both buyers and sellers coexist simultaneously.
- It means there is equal or near-equal supply and demand at a specific price zone.
- In a liquid market, you can buy or sell quickly with minimal price difference between your order and the execution price.
- In an illiquid market, large gaps exist between buyers and sellers — you may have to sell at a steep discount to find a buyer.

Food Street Analogy: A food street with many shops selling the same item at similar prices (e.g., idli at ₹49-₹51) is a highly liquid area. Prices are tight, transactions happen fast. If one shop charges ₹60, buyers simply walk to the next shop. This competition keeps prices stable — just like liquidity keeps market prices in a tight range.

6.2 Liquidity vs Illiquidity — Practical Comparison

Aspect	Liquid Market	Illiquid Market
Bid-Ask Spread	Very tight (e.g., 50 paise difference)	Wide spread (large gap between buy and sell)
Execution	Instant at near-current price	Slow, may require significant discount
Example	Gold, Nifty, large-cap stocks	Small-cap stocks, real estate, collectibles
Price Impact	Large orders have minimal price impact	Even small orders move price significantly

6.3 Liquidity Zones on a Chart

- 90% of the time, consolidation areas (NRC and WRC) are high-liquidity zones.
- NRC has very high liquidity — many buyers and sellers exchanging within the tight range.
- WRC also has significant liquidity — price oscillates with active participation.
- These zones act as support and resistance because of the thick, concentrated order activity within them.

6.4 The Swimming Pool / Oil Pool Analogy

Balakrishna uses a brilliant analogy to explain how liquidity zones behave when price approaches them:

- **Water Pool:** If you jump into a water pool from above, you dive straight through the surface quickly — low resistance. This represents a low-liquidity zone where price passes through easily.
- **Oil Pool (High Viscosity):** If you jump into an oil pool, the thick viscosity slows your entry. You go in slowly, and the thickness resists your movement. This represents a HIGH-liquidity zone — like an NRC.
- The viscosity (thickness) of the oil = the depth of liquidity at that price zone.
- Price approaching a high-liquidity NRC zone will be rejected at the surface (strong liquidity) or will slowly be absorbed and enter before reversing.

6.5 How Liquidity Zones Behave When Price Approaches

Scenario	Behaviour
Strong liquidity — price touches from outside	Immediate rejection. Price bounces away from the zone quickly, without penetrating deeply.
Moderate liquidity — price touches from outside	Price enters the zone partially, then reverses from within.
Weak liquidity — price touches from outside	Price penetrates fully through the zone, eventually breaking out.
Very low liquidity remains	Price blasts through — the NRC breakout happens. All supply/demand has been consumed.

Key Rule: The depth of price penetration into a liquidity zone tells you the strength of that zone. Strong rejection from the boundary = very high liquidity. Deep penetration before reversal = weaker liquidity. Full break-through = liquidity exhausted.

6.6 Liquidity Zones and Price Reversal

- For price to break through a liquidity zone (e.g., an NRC acting as resistance), it must consume ALL the pending limit sell orders inside that zone.
- Every sell order in the zone must be absorbed (bought) before price can advance further.
- Until all the supply is consumed, price cannot go higher. It must 'kill all sellers' first.
- This is why high-liquidity zones are such reliable support/resistance levels — they take a lot of energy to overcome.

□ **Note:** When price revisits the same liquidity zone again and again, each visit consumes some of the available orders. The more times price visits, the weaker the zone becomes — until finally it breaks through. This is the principle of zone weakening over repeated tests.

7. Delta — Measuring Order Flow Dominance

Delta is the most important single number in order flow analysis. It reveals who is in control of each candle — buyers or sellers — and by how much.

7.1 What is Delta?

- Delta = Buy Volume – Sell Volume
- It measures the NET dominance of buyers over sellers (or sellers over buyers) within a specific candle or time period.
- Delta is NOT a count of the number of buyers/sellers — it represents the excess of one side over the other.

Delta Value	Meaning
Positive Delta (e.g., +461)	Buyers are dominant. Buy volume exceeds sell volume by 461 contracts/shares.
Negative Delta (e.g., -120)	Sellers are dominant. Sell volume exceeds buy volume by 120 contracts/shares.
Delta near zero	Balance — neither buyers nor sellers are dominant. Exchange is happening equally.
Large positive delta	Strong buyer dominance — price likely to move upward.
Large negative delta	Strong seller dominance — price likely to move downward.

7.2 How to Find Delta on Pro Charting

- In order flow view, zoom in on the chart until you can see the numbers within each candle clearly.
- At the bottom of the chart, click on the bar statistics area (double-click on any candle).
- A bar statistics window opens showing: Total Volume, Buy Volume, Sell Volume, and Delta.
- To simplify: in the settings, remove Buy Volume and Sell Volume — keep only Delta value displayed.
- Delta is displayed: Buy Volume number at top of candle, Sell Volume at bottom. The difference = Delta.

7.3 Understanding Delta — Common Misconception

Many students misunderstand what delta numbers mean. Here is the critical clarification:

Misconception vs Reality	Explanation
Delta of +461 means 461 buyers	WRONG. It means buyers exceed sellers by 461. There could be 3,830 buyers and 3,370 sellers — a difference of 460.
Delta of -120 means 120 sellers	WRONG. Sellers exceed buyers by 120. Example: 2,730 sellers vs 2,610 buyers — difference of 120.
Correct interpretation	Delta shows the EXCESS. Add the minority side to the delta to get the total dominant side. E.g., if sellers = 3,370 and delta = +461, then buyers = $3,370 + 461 = 3,831$.

Balakrishna's Rule: Delta is dominance — not absolute count. Even if both sides have 10,000 participants each, delta could be zero if they are equal. Delta only becomes significant when one side begins to overpower the other substantially.

7.4 When Does Delta Create a Price Effect?

- Mild dominance (e.g., 1,000 buyers vs 1,200 sellers) — delta of 200 — minimal impact. Price will not move significantly.
- Moderate dominance — some price movement, but not a strong trend.
- When dominance exceeds 100% (sellers become 2x or more of buyers, or vice versa) — strong directional pressure on price.
- At extreme delta values (5x, 10x difference), price will move powerfully in that direction.

7.5 Delta and Candle Colour Relationship

- In a green (bullish) candle: buyers were dominant — positive delta expected.
- In a red (bearish) candle: sellers were dominant — negative delta expected.
- However, DIVERGENCES between candle colour and delta are highly informative (covered in advanced sessions).

7.6 Delta vs SMC/BMC Candles

- SMC (Selling Market Candle) and BMC (Buying Market Candle) are pure order flow patterns — you observe the order flow directly from the candle footprint.
- Delta is a DERIVED metric — it is the mathematical result of the order flow activity.
- For experienced, fast traders: use SMC/BMC directly — it is more precise and real-time.
- For newer or developing traders: use Delta as your primary indicator — it is easier to interpret and still highly effective.

Balakrishna's Guidance: Delta is the byproduct of SMC/PMC candle activity. If you are skilled and active, read the SMC/BMC directly. If you are still developing, rely on delta — it gives you the same directional signal with less complexity.

8. Limit vs Aggressive Orders at Support and Resistance

This is the most advanced concept covered in this session. It explains how to re-interpret what you see in order flow when price is at — or crossing — a key support or resistance level.

8.1 The Standard Interpretation (Away from S/R)

- Under normal market conditions (away from support/resistance zones), the order flow is straightforward:
- Right-side numbers in a candle = Aggressive Buying (market buy orders).
- Left-side numbers in a candle = Aggressive Selling (market sell orders).
- This is the regular, everyday reading of order flow candles.

8.2 The Reversal in Interpretation (At S/R Zones)

When a candle is touching or crossing a support or resistance level, the interpretation FLIPS. This is one of the most powerful insights in order flow analysis.

At or Near Resistance

- A candle approaches resistance from below — most of the candle body is BELOW the resistance level.
- This normal activity inside the zone = aggressive buying and aggressive selling (as usual).
- But the small portion of the candle that CROSSES ABOVE the resistance level? That crossing is caused by Limit Sellers who placed orders specifically at the resistance level.
- So when a candle pushes briefly above resistance and gets rejected, you are seeing LIMIT SELL orders absorbing the aggressive buyers.
- Rename: at resistance, 'aggressive buying' becomes an indirect indicator of 'limit selling' at that level.

At or Near Support

- A candle approaches support from above — most of the candle body is ABOVE the support level.
- The small portion of the candle that BREAKS BELOW the support level = caused by Limit Buyers who placed orders at the support level.
- So when a candle pierces briefly below support and bounces, you are seeing LIMIT BUY orders absorbing aggressive sellers.
- Rename: at support, 'aggressive selling' becomes an indirect indicator of 'limit buying' at that level.

Scenario	Order Flow Interpretation
Normal candle (away from S/R)	Right side = Aggressive Buying. Left side = Aggressive Selling.
Candle crossing resistance (part above)	Activity in the portion above resistance = Limit Selling absorbing buyers.
Candle crossing support (part below)	Activity in the portion below support = Limit Buying absorbing sellers.
What this tells you	Big money (institutions) placed limit orders AT the S/R level. This confirms the S/R zone is held by strong hands.

8.3 The King and Queen Analogy

Balakrishna explains the relationship between aggressive orders and limit orders with an elegant analogy:

- The King = Aggressive orders (market orders). These are what you normally observe and interact with in everyday trading — visible, direct, easy to see.
- The Queen = Limit orders. Equally powerful, perhaps even more so — but not directly visible. You only know the queen is acting when the king is absent (i.e., when aggressive activity stops at a S/R level and price reverses).
- You transact with the King (aggressive orders) in normal trading. But at key levels, it is the Queen (limit orders) that controls the outcome.
- When price gets rejected at a resistance: the aggressive buyers (King) ran into the limit sellers (Queen) — and the Queen won.

Advanced Insight: Wherever you see aggressive buying activity at and slightly above a resistance level, understand that it was MADE POSSIBLE by limit sellers sitting at that level. No one can aggressively buy without a limit seller to match with. The resistance was created and held by limit sell orders.

□ **Note:** For now, in most of your analysis, focus on aggressive (market) orders — the King. But always be aware that the S/R levels you are trading are ultimately defined and defended by limit orders — the Queen.

9. Session Golden Rules & Key Takeaways

#	Golden Rule
1	Set your imbalance threshold to 300% in all order flow tools. Below this, signals are unreliable.
2	Every market transaction requires BOTH a limit order and a market order. They are inseparable — one is passive, one is aggressive.
3	Market orders MOVE price. Limit orders DO NOT move price — they wait.
4	Two market orders can never merge. A market buy and a market sell cannot match with each other.
5	Price rises because market buyers keep hitting limit sellers at progressively higher levels (LTP shifts up).
6	Price falls because market sellers keep hitting limit buyers at progressively lower levels (LTP shifts down).
7	Law of Gravity: Price slides down slowly even without active sellers — just from the absence of buyers. This is why pullbacks are slow.
8	Pullback = slow, mild, low-volume retracement within a trend. It is NOT a sell-off.
9	Sell-off = fast, sharp, high-volume aggressive fall. NEVER buy into a sell-off — it is a falling knife.
10	In a healthy trend, pullbacks should not exceed 50% of the prior move. In stocks/index, ideally less than 15%.
11	NRC breakout: no pullback. WRC breakout (rare): expect a pullback — use it as a re-entry.
12	Liquidity zones (NRC, WRC) act as support and resistance. The stronger the liquidity, the stronger the rejection.
13	The more times price revisits a liquidity zone without breaking through, the weaker that zone becomes.
14	Delta = Buy Volume – Sell Volume. It measures dominance, not absolute count.
15	Positive delta = buyers dominant. Negative delta = sellers dominant. Delta near zero = balance (exchange).
16	Significant delta effect begins when one side exceeds the other by 100% or more.
17	For advanced traders: read SMC/BMC directly. For developing traders: rely on delta as your primary signal.
18	At S/R zones, normal candle activity = aggressive orders. Candle portion crossing S/R = limit orders from the other side.

10. Glossary of Terms

Term	Definition
Limit Order	An order to buy or sell at a specified price. Does not execute until market reaches that price. Also called Passive Order.
Market Order	An order to buy or sell immediately at the best available price. Also called Aggressive Order. Moves the market.
LTP	Last Transaction Price — the price at which the most recent trade executed. This is what you see as 'current price'.
Passive Order	Another name for Limit Order. Waits passively for price to reach it.
Aggressive Order	Another name for Market Order. Actively hunts for the nearest available counterparty.
Imbalance	A significant mismatch between buying and selling volume at a specific price level within a candle. Set to 300% threshold.
Imbalance Threshold	The minimum ratio of buyer-to-seller (or seller-to-buyer) volume required to register as a valid imbalance signal. Use 300%.
Law of Gravity	Price naturally drifts downward even without active sellers, purely due to lack of new buying demand.
Pullback	A slow, mild, low-volume retracement within an ongoing trend. Caused by profit booking and lack of new buyers.
Sell-Off	A fast, sharp, high-volume decline driven by aggressive selling. Not a pullback — do not buy into it.
Retracement	A temporary price movement against the trend direction. A pullback is a type of mild retracement.
Liquidity	A price zone where large numbers of both buyers and sellers coexist, creating dense order activity. Acts as support/resistance.
Liquidity Zone	A price area with high density of orders (usually NRC or WRC). Price is rejected or absorbed here.
Rejection	Price hits a liquidity zone and bounces away — the zone's orders absorb the incoming pressure and reverse the move.
Delta	Buy Volume minus Sell Volume. Measures net dominance of buyers vs sellers in a candle.
Positive Delta	Delta > 0. Buyers are dominant. Buyers exceed sellers by the delta amount.
Negative Delta	Delta < 0. Sellers are dominant. Sellers exceed buyers by the absolute delta amount.
Dominance	The state when one side (buyers or sellers) significantly outweighs the other, typically by 100% or more.

SMC	Selling Market Candle — a pure order flow pattern signalling aggressive selling. Used for sell entries.
BMC	Buying Market Candle — a pure order flow pattern signalling aggressive buying. Used for buy entries.
Bar Statistics	A data panel in order flow tools showing buy volume, sell volume, and delta for individual candles.
Limit Buyers at S/R	Passive buy orders placed at support levels. When price pierces below support briefly, these orders absorb the selling pressure.
Limit Sellers at S/R	Passive sell orders placed at resistance levels. When price pierces above resistance briefly, these orders absorb the buying pressure.

11. Practice Recommendations & Upcoming Session

Practice Tasks

- Verify your imbalance setting is set to 300% in your order flow software.
- Practice identifying Pullbacks vs Sell-offs on historical charts of Nifty, Gold, and stocks. Mark the speed difference visually.
- Find 3 NRC zones on any chart and note whether the breakout gave a pullback or not. Confirm the NRC rule.
- Find 3 WRC zones and trace the breakout failures. Note how price reverses each time.
- On order flow charts, find 5 candles and calculate delta manually (Buy Vol – Sell Vol). Verify against the displayed delta.
- Find one NRC or WRC zone on a chart. Observe how price behaves when it approaches the zone — immediate rejection vs slow absorption.
- On any candle at a support or resistance level, identify: which portion of the candle is inside the S/R zone (aggressive orders) and which portion crosses S/R (limit orders from the other side).
- Use the Replay/Backtest feature in Pro Charting to go back in history, mark NRC zones in real time, and observe how price reacted — practice market reading skills.

Backtest Instructions (Pro Charting)

- In Pro Charting, find the bar statistics panel at the bottom of the chart.
- Click the Replay bar — scroll back to your desired historical date.
- Double-click to set the starting point. Use the Play button to run the chart forward.
- Adjust the speed using the speed control.
- As the chart replays, mark NRC/WRC zones in real time and watch how price reacts.

Balakrishna's Closing Advice: Understand the analysis well and you will get fantastic trades. The concepts build on each other — master each session before moving to the next. Those who understand the analysis deeply will see consistent results.

End of Session 2 Notes

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